Stage 2 transfer memo (significant increase in credit risk)

Reference	**LP-S2-L047-W33**	Date	**2026-11-07 (data as of 2023-01-18, week 33)**
To	**Provisioning Committee**	From	**Credit Risk, Banco Demo (fictional)**
Borrower	**Granja San Pedro S.A. (F045)**	Loan	**L047 · Crop input loan · $180,000**

Transfer of loan L047 from Stage 1 to Stage 2 (lifetime ECL). Current model stage: 2 (critical climate alert (level Severe)).

1. SICR evidence

Test	Threshold	Observed	Result
PD 12-month now vs origination	at least 2.0x	9.25% to 21.98% (2.4x)	**MET**
Critical climate alert (level Severe)	level Severe	Severe (score 100)	**MET**
Days past due / BCRA situacion	30+ days or situacion 2+	0 days / situacion 1	not met

First week at level Severe: week 26 (2022-11-30). Latest alert: High to Severe in week 26 (2022-11-30), score 78. Expected yield -34% vs normal (p10 -50%). Main signals: SPI-60 -3.1, soil moisture percentile 0, NDVI z -1.9.

Maize is in grain fill (stage weight 0.8). Drought confirmed: 60-day rain is -3.1 SD from normal (SPI-60), soil moisture is at the 0th percentile and NDVI is 1.9 SD below this field's own history. Expected yield -34% vs normal (range -50% to -22%). Closest past season: 2017/18 (yield -24%). Risk level Severe (score 100, confidence 58%).

2. Effect on expected credit loss

Basis (base scenario, same PD and LGD)	Horizon	PD	ECL (USD)
Stage 1: 12-month ECL	12 months	22.10%	$8,003
Stage 2: lifetime ECL (incl. assumed 1-year restructuring)	to maturity + 12 months	39.22%	$11,366
Increase from the transfer			**+$3,364**

Model ECL now: bank baseline $7,351; climate-weighted $13,548 (base $11,375, adverse $16,808, severe $16,808). EAD $180,000, LGD 20.3%.

3. Proposed accounting treatment

Item	Amount (USD)
ECL as Stage 1 (12-month, base scenario)	$8,003
ECL as Stage 2 (lifetime, base scenario)	$11,366
Additional provision from the transfer (base)	+$3,364
Climate-weighted ECL after transfer (3 scenarios)	$13,548

4. Decision requested

Approve the transfer to Stage 2 effective 18 Jan 2023 and book the additional provision above.

Return to Stage 1: only after the SICR conditions have cleared (level below Severe, PD under 2x origination, no arrears) and a probation period without new alerts. Stage 3 is not proposed: Stage 3 requires default (more than 90 days past due or BCRA situacion 3+).

5. Approval and sign-off

Role	Decision	Name	Signature	Date
Credit risk officer (preparer)	☐ Approve ☐ Reject			
Provisioning Committee	☐ Approve ☐ Reject			
Chief Risk Officer	☐ Approve ☐ Reject			